I found 259 bullish bats in the data I searched. That's too few to be comfortable drawing conclusions, but let's live dangerously, shall we?

I measured performance of Fibonacci-based patterns differently than I do other chart pattern types. That's because we're looking for a reversal at the end of the pattern and not an up or down breakout. Therefore, the layout of this chapter is different from most other chapters in this book.

The Results Snapshot (previous page) shows the average rise from the low at turn D is 44.3%, which is quite good. That beats the 42.4% average gain for non-Fibonacci-based patterns. Failures, at about 10% of patterns, are also quite good. They are well below the 15.3% failure rate for non-Fibonacci patterns.

Swing traders will want to buy long at turn D. Price turns upward at D 91% of the time in the bats I looked at. That's sensational. It's a headline performance.

The performance rank, which is based on the average rise from point D when compared to other Fibonacci patterns, is first out of five. It's the best performing Fibonacci pattern. The performance rank of bear market patterns (not shown) is also first (best), out of five contenders.

Tour

Figure 5.1 shows what a bullish bat pattern looks like, one that performs better than expected. The pattern has five turning points, cleverly labeled X, A, B, C, and D. Why is X labeled as the first turning point? I haven't a clue, I'm too lazy to find out, and that's the convention. So that's what I use.

In Figure 5.1, the bat appeared when price formed a second bottom at X, mirroring the valley in October. Price recovered to the top of a trading range setup by prior peaks (and valleys) and hit turn A, the top of the pattern. Price found overhead resistance there that it couldn't overcome. So price retraced in an ABC-type consolidation (that is, a drop to B, upward retrace to C, and drop to D). The stock broke out upward at F when price closed above the top of the pattern, pushed through a ceiling of resistance, and soared.